May/June 2011 Paper 02

Section I (Compulsory)

Question 1

1(a) Characteristics of leadership styles

State TWO characteristics of EACH of the following types of leadership styles: (i) Democratic (4 marks); (ii) Autocratic (4 marks)

(a)(i) Democratic leadership

- The leader consults workers and allows them to share their ideas before making important decisions, so workers feel their views are valued.
- Authority and responsibility are shared between the leader and the workers, and the workers are given some freedom to plan and organise their own work.

(a)(ii) Autocratic leadership

- The leader makes all the decisions alone and gives orders to workers without asking for their opinions.
- Communication flows mainly downwards from the leader to the workers, and strict rules and close supervision are used to make sure orders are followed.

1(b) Essential characteristics of a good leader

State THREE essential characteristics of a good leader. (6 marks)

Good communication skills

A good leader must be able to speak and write clearly so that workers understand exactly what they have to do. The leader must also be a good listener, willing to hear the views and concerns of the workers.

Honesty and integrity

A good leader must be truthful and fair in dealing with workers, customers and owners. By keeping promises and acting in an ethical way, the leader earns the trust and respect of everyone in the organisation.

Confidence and the ability to motivate others

A good leader must have self-confidence and a clear vision of where the organisation is going, and must be able to encourage workers to give their best. Through praise, fair reward and a positive example, the leader inspires workers to work hard and to feel proud of their jobs.

1(c) How lack of these characteristics affects an organization

Discuss how the lack of TWO of the essential characteristics of good leadership identified in (b) above can affect an organization. (6 marks)

Lack of good communication skills

When a leader cannot communicate clearly, workers do not understand what is expected of them and they

may carry out tasks wrongly or leave them undone. Important information about goals, changes and problems is also not shared properly between management and workers, leading to confusion, mistakes and waste of time. Over time, productivity falls, customers become unhappy and the workplace fills with rumour and tension.

Lack of honesty and integrity

When a leader is dishonest or unfair, workers quickly lose trust and respect for the leader. Workers become unwilling to follow instructions, theft and indiscipline may increase and conflicts between staff and management can develop. The reputation of the organisation can also be damaged with customers and suppliers, leading to lost business and possible legal trouble.

Question 2

2(a) Definition of feasibility study

Define the term 'feasibility study'. (2 marks)

A feasibility study is an investigation carried out before a business or project is started, to find out whether the idea is workable and likely to be profitable. It examines areas such as the demand for the product, the cost of starting and running the business, the available resources and the possible risks, so that the owner can decide whether or not to go ahead with the project.

2(b) Instances where feasibility studies are useful

Outline THREE instances where feasibility studies are useful. (6 marks)

Before starting a new business

When an entrepreneur is thinking of opening a new business, a feasibility study helps to find out whether there are enough customers, whether the prices charged will cover costs and whether the owner has the skills and money to run the business. This helps the entrepreneur to avoid spending money on a business that is likely to fail.

Before introducing a new product or service

An existing business that wants to add a new product to its range can use a feasibility study to see whether customers want the product, what price they will pay and whether the business has the equipment and workers to produce it. The study helps the business to decide whether the new product will earn enough profit to be worth the trouble.

Before expanding into new locations or markets

When a business is thinking of opening a new branch or selling its products in a new country, a feasibility study examines the cost of the expansion, the level of competition, the laws of the new area and the demand for the product. This helps the owners to expand only into places where the chances of success are good.

2(c) Roles of an entrepreneur

State THREE roles of an entrepreneur. (6 marks)

Combining the factors of production
The entrepreneur brings together land, labour and capital to produce goods or services that satisfy the needs and wants of customers.

Bearing the risks of the business
The entrepreneur invests his or her own money and time in the business and accepts the risk that the business may make a loss or even fail completely. If the business succeeds, the entrepreneur takes the profit as a reward for that risk.

Making decisions and innovating
The entrepreneur decides what will be produced, how it will be produced and who it will be sold to. The entrepreneur also looks for new ideas, new products and new methods that will keep the business ahead of competitors.

2(d) How entrepreneurs contribute to development

Discuss TWO ways in which entrepreneurs contribute to the development of your country. (6 marks)

Creation of jobs and incomes
When entrepreneurs set up new businesses, they hire workers to help run them. These jobs provide wages and salaries that allow households to buy food, clothing, housing and education for their children. As more people earn incomes, poverty falls, the standard of living rises and the wider economy benefits because workers also pay taxes and spend in other shops.

Production of goods, services and tax revenue
Entrepreneurs produce a wide range of goods and services for the local market and for export, which raises the country's Gross Domestic Product. Their businesses also pay company tax, value added tax and other charges to the government. The government uses this tax money to build roads, schools, hospitals and other services that contribute to the development of the country.

Question 3

3(a) Savings

(i) Define the term 'savings'. (2 marks); (ii) List TWO methods of saving that are available to individuals. (2 marks)

(a)(i) Definition of savings
Savings is the part of a person's income that is not spent on current consumption but is set aside for use in the future. It is usually kept in a safe place, such as a bank account, where it can earn interest until the person decides to use it.

(a)(ii) TWO methods of saving

- Opening a savings account at a commercial bank or credit union, where the money earns interest and can be withdrawn when needed.
- Buying a fixed deposit or certificate of deposit, where money is locked away for an agreed period of time at a higher rate of interest.

3(b) Sources of short-term and long-term financing

Identify TWO sources of short-term financing and TWO sources of long-term financing. (4 marks)

Short-term financing

- Bank overdraft, where the bank allows the business to draw more money from its current account than it has, up to an agreed limit.
- Trade credit from suppliers, where suppliers allow the business to receive goods now and pay for them at a later date, usually within 30 to 90 days.

Long-term financing

- Long-term bank loans or mortgages, where money is borrowed for a number of years to buy buildings, land or heavy equipment.
- Issue of shares to the public by a limited company, where the company sells shares in exchange for permanent capital.

3(c) Role of the Central Bank

Explain the role of the Central Bank as (i) an advisor to the government (3 marks); (ii) a lender of last resort. (3 marks)

Advisor to the government

The Central Bank advises the government on matters such as monetary policy, interest rates, inflation and the management of the country's foreign reserves. Because it has experts in economics and finance, the Central Bank helps the government to plan the national budget, to control the money supply and to keep the value of the local currency stable.

Lender of last resort

The Central Bank acts as the lender of last resort by lending money to commercial banks that are facing a temporary shortage of cash and cannot borrow from anywhere else. By stepping in to lend, the Central Bank prevents commercial banks from collapsing and protects the savings of ordinary depositors, which keeps confidence in the whole banking system.

3(d) Cashless monetary transactions

Identify TWO types of monetary transactions that can be conducted within the banking system without the use of cash. Discuss how EACH transaction is performed. (6 marks)

Payment by cheque

A cheque is a written order from an account holder telling his or her bank to pay a stated sum of money to a named person or business. The person being paid takes the cheque to their own bank, which sends it through the clearing system to the payer's bank. The payer's account is then debited and the receiver's account is credited, all without any cash changing hands.

Electronic funds transfer (EFT)

EFT allows money to be moved from one bank account to another using a computer or mobile phone, through services such as online banking, standing orders and direct deposits. The customer logs into the

bank's website or app, enters the amount and the receiver's account details, and the bank moves the money electronically from the payer's account to the receiver's account, often within a few seconds.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Market vs marketing

Distinguish between the terms 'market' and 'marketing'. (4 marks)

Market

A market is any place or arrangement that brings together buyers and sellers of goods and services so that they can exchange them. The market does not have to be a physical place: it can also be an online platform such as a website or app where buyers and sellers meet and trade.

Marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs profitably. It includes researching the market, designing the product, deciding the price, getting the product to the customer and promoting it through advertising and other methods.

4(b) Reasons for conducting market research

State FOUR reasons for conducting market research. (4 marks)

- To find out the needs, wants and preferences of customers.
- To identify the size of the target market and the level of competition.
- To test new products and improve existing products before they are launched.
- To decide on the most suitable price, place and promotion for the product.

4(c) Monopoly and monopolistic competition

(i) Define the term 'monopoly'. (2 marks); (ii) State TWO features of monopolistic competition. (4 marks)

(c)(i) Definition of monopoly

A monopoly is a market situation in which there is only one seller of a particular good or service, and there are no close substitutes. Because the monopolist is the only supplier, it has a great deal of power over the price charged and the quantity supplied.

(c)(ii) TWO features of monopolistic competition

- There are many buyers and many sellers, and each seller offers a product that is similar but slightly different from the others, for example through brand name, packaging or quality.
- Because each product is slightly different, sellers spend money on advertising and branding to attract customers, and there is freedom for new firms to enter or leave the industry at any time.

4(d) Problems related to distribution of goods

Discuss ONE potential problem related to the distribution of goods (i) locally; (ii) internationally. (6 marks)

Local distribution: poor roads and transport

Within many Caribbean countries, local roads are narrow, full of potholes or affected by flooding, especially in rural areas. This makes it slow and expensive to deliver goods from the factory or port to the shops. Goods can be damaged on the journey, perishable items such as food can spoil, and shops may run out of stock, which leads to lost sales and unhappy customers.

International distribution: customs delays and high shipping costs

When goods are sent from one country to another, they have to pass through customs checks where documents are examined and duties are paid. Delays at the port, mistakes in the paperwork, strikes by dock workers or high shipping and insurance costs can all hold up the goods and increase the final price to the customer. For perishable goods such as fruit, even a few days of delay can mean that the entire shipment is spoilt.

Question 5

5(a) Credit methods provided by commercial banks

(i) Identify TWO types of credit methods provided by commercial banks. (2 marks); (ii) Explain how EACH of the TWO types of credit methods identified in (a)(i) works. (6 marks)

(a)(i) TWO credit methods

- Bank loan.
- Bank overdraft.

(a)(ii) How EACH method works

Bank loan

A bank loan is an agreed sum of money lent by the bank to a customer for a fixed period of time at a stated rate of interest. The full amount is usually paid into the customer's account at the start, and the customer repays it through equal monthly instalments that include both interest and part of the original amount borrowed. The customer may have to provide collateral, such as a house or a car, which the bank can sell if the loan is not repaid.

Bank overdraft

A bank overdraft allows the customer to withdraw more money from his or her current account than there is in the account, up to an agreed limit. Interest is charged only on the amount actually overdrawn and only for the days it is used, which makes it useful for short-term needs such as paying wages while waiting for customers to settle their bills. The overdraft is usually meant to be cleared within a short period and can be reviewed by the bank at any time.

5(b) Importance of business documents in international trade

State TWO reasons why business documents are important in international trade. (2 marks)

- They provide a legal record of the agreement between the buyer and the seller, which can be used in court if there is a dispute.
- They are needed to clear goods through customs, to claim insurance and to obtain payment from banks under arrangements such as letters of credit.

5(c) Credit note vs debit note

Distinguish between the terms 'credit note' and 'debit note'. (4 marks)

Credit note

A credit note is a document sent by the seller to the buyer to reduce the amount the buyer owes. It is issued when the buyer returns goods, when the buyer has been overcharged on the original invoice, or when an allowance is being given for damaged goods. A credit note is usually printed in red.

Debit note

A debit note is a document sent by the seller to the buyer to increase the amount the buyer owes. It is issued when the buyer has been undercharged on the original invoice or when extra goods have been delivered that were not included in the first invoice. A debit note has the effect of adding to the buyer's bill.

5(d) Reasons for using a pro forma invoice

Discuss TWO reasons why a supplier may use a 'pro forma invoice'. (6 marks)

To give the buyer a quotation before a sale is made

A supplier may send a pro forma invoice to a possible buyer to show in advance what the goods will cost, including the price, quantity, packing, freight and insurance charges. The buyer can then decide whether the price is acceptable before placing a firm order. This protects both sides because the buyer knows exactly what will be charged and the supplier knows the buyer is serious before going to the trouble of supplying the goods.

To request payment in advance for goods

When the supplier does not know the buyer well, especially in international trade, the supplier may send a pro forma invoice and ask the buyer to pay before the goods are shipped. The pro forma also helps the buyer to arrange foreign exchange, an import licence or a letter of credit at the bank, because it gives the bank all the information needed about the goods and their value.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Government as a regulator of business

Explain what is meant by the statement 'government is a regulator of business', giving TWO examples to support your explanation. (5 marks)

The statement 'government is a regulator of business' means that the government uses laws, rules and regulations to control how businesses operate, in order to protect consumers, workers, the environment

and the wider economy. Businesses are not free to do whatever they want; they must follow the standards set by the government and can be fined or shut down if they break the rules.

- Example 1: The government passes consumer protection laws, such as food and drug standards, that force businesses to make sure that the goods they sell are safe, properly labelled and of the correct quantity.
- Example 2: The government uses the Ministry of Labour and the Factories Act to control working conditions in businesses, setting rules on hours of work, minimum wages and safety on the job to protect workers.

6(b) Purposes of taxation

State THREE purposes of taxation. For EACH of the purposes stated, explain how the government in your country uses the taxes collected. (9 marks)

To raise revenue to fund public services

The main purpose of taxation is to provide the government with money to run the country. The government uses tax revenue to pay for public services such as schools, hospitals, the police and the army, road repairs and the salaries of public officers. Without these tax dollars, citizens would have to pay directly for services that are now provided free or at low cost.

To redistribute income from the rich to the poor

Taxes are also used to reduce the gap between rich and poor citizens. The government charges higher rates of income tax on people who earn more, and uses some of the revenue to pay for old age pensions, public assistance, school feeding programmes and subsidised housing for low-income households.

To control the economy and discourage harmful activities

The government uses taxes to manage the level of spending in the economy and to discourage certain activities. For example, high taxes are placed on cigarettes, alcohol and gambling to reduce the harm they cause, while heavy import duties may be charged on luxury goods so that more foreign exchange is saved for needed imports.

6(c) Consumer protection legislation

Discuss EACH of the following consumer protection legislations showing how EACH benefits consumers. (i) Food and drug standards; (ii) Hire purchase laws. (6 marks)

Food and drug standards

Food and drug standards are laws that set out the quality, ingredients, hygiene and labelling rules that food and medicine sold to the public must meet. Inspectors from the Ministry of Health visit factories, shops and restaurants to test products and check conditions, and any business found breaking the rules can be fined or have its licence taken away. Consumers benefit because they can be sure that the food and medicine they buy are safe to consume, that the contents and expiry date are clearly shown on the label, and that they will not be sold contaminated or fake products.

Hire purchase laws

Hire purchase laws govern the buying of goods on credit, where the buyer pays a deposit and then makes

regular payments before becoming the owner of the goods. The laws force sellers to give the buyer a written agreement that shows the cash price, the total hire purchase price, the rate of interest and the number of payments to be made. Consumers benefit because they cannot be tricked by hidden charges, they have a 'cooling-off' period in which they can change their minds, and the seller cannot just take the goods back without following proper legal steps if the buyer falls behind on payments.

Question 7

7(a) Methods of measuring national income

Explain how the national income of a country is measured using EACH of the following methods: (i) Income; (ii) Expenditure; (iii) Output. (6 marks)

Income method

The income method measures national income by adding up all the incomes earned by the factors of production within the country during a year. This includes wages and salaries earned by workers, rent earned by landowners, interest earned on capital and profits earned by businesses. The total of all these incomes gives the national income.

Expenditure method

The expenditure method measures national income by adding up all the spending on the country's finished goods and services during a year. This includes spending by households on consumer goods, spending by firms on investment such as machinery and buildings, spending by the government on public services and net spending by foreigners (exports minus imports). The total of all this spending gives the national income.

Output method

The output method measures national income by adding up the value of all the goods and services produced in the country during a year, after taking away the cost of raw materials so that the same value is not counted twice. The output of the agriculture, manufacturing, mining, tourism and other sectors is added together to give the total national income.

7(b) Functions of regional and international organizations

Explain ONE function of EACH of the following organizations: (i) Caribbean Development Bank; (ii) World Bank; (iii) International Monetary Fund. (6 marks)

Caribbean Development Bank (CDB)

One function of the CDB is to provide loans and grants to its member countries in the Caribbean to help them finance development projects such as roads, ports, schools, hospitals and water systems. The CDB also gives technical advice on how to plan and run these projects so that they bring lasting benefits to the people of the region.

World Bank

One function of the World Bank is to lend money at low rates of interest to developing countries to help them reduce poverty and build up their economies. The loans are used for major projects such as building

schools, improving health services, expanding agriculture and providing clean water and electricity to poor communities.

International Monetary Fund (IMF)

One function of the IMF is to lend short-term funds to member countries that are facing serious balance of payments problems, so that they can pay their import bills and meet other foreign obligations. In return, the country usually has to agree to follow certain economic policies set by the IMF, such as cutting government spending, controlling inflation and managing the exchange rate, in order to put the economy back on a healthy footing.

7(c) Meaning of CSME

Explain what is meant by CSME. (2 marks)

CSME stands for the Caribbean Single Market and Economy. It is an arrangement among CARICOM member countries that allows the free movement of goods, services, capital and certain categories of skilled workers across the region, with the aim of creating one large Caribbean market and one Caribbean economy.

7(d) How CSME assists in economic development

Discuss TWO ways in which the CSME can assist in the economic development of Caribbean countries. (6 marks)

Creation of a larger market for Caribbean goods and services

Under the CSME, goods and services produced in any member country can be sold in other member countries without paying customs duties. This gives Caribbean businesses a much larger market than their own small home country, allowing them to produce on a bigger scale, lower their unit costs and become more competitive. The result is more sales, more jobs and higher incomes for citizens across the region.

Free movement of skilled workers and capital

The CSME allows certain groups of skilled workers, such as university graduates, teachers, nurses and artistes, to live and work freely in any other member country, and it lets investors move capital from one country to another. This means that countries facing shortages of certain skills can fill them quickly, and money flows to where it is most needed. Together this builds up the productive capacity of the region and supports long-term economic development.